

big rights issue.⁵ At the same time, Deutsche Bank had announced that they would be disposing of their industrial holdings, and Fiat was one of their positions. Rather than exercise their rights, which would increase their position, Deutsche Bank decided to sell their rights. You had a situation where the market was going up, and while Fiat should have been going the same way, it was actually going down because of a big seller. And that seller was not driven by fundamentals, but rather by a desire to rebalance their portfolio to reduce industrial holdings. The rights were especially cheap because of the Deutsche Bank selling. We bought the rights, which effectively gave us a cheap call. Buying the Fiat rights was a trade where everything lined up. First, the market was very strong. Second, the stock was substantially underperforming the market and its sector for two technical reasons—there was a rights issue and a large seller for technical reasons that had nothing to do with the fundamentals. Third, the rights provided you with a way to put on a large position for a small capital outlay. Fourth, because Deutsche Bank was a large seller of rights and the stock was difficult to borrow, the rights were trading below their intrinsic value.

What advice do you give to people who want to be traders?

First, they need to make sure they understand their motivation. Not everyone who says that want to be a trader really does. Trading has this macho mystique. People will say they want to be a trader and won't admit to perhaps wanting to be an analyst, even if they would be happier as an analyst. They might even make more money as an analyst because they would be better at it.

You have seen a lot of traders. What are the characteristics of traders who succeed?

They all work hard. There is a First New York trader in New Zealand who trades international equities. He can't be awake 24 hours a day, but he seems to be.

Nearly all the successful traders I have known are one-trick ponies. They do one thing, and they do it very well. When they stray from that single focus, it often ends in disaster. In the hedge fund world, you will see traders who do one thing very well, make a lot of money at it, and then